Crude stays elevated on war risk and low supply

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【メール原文】

Crude prices will remain high even as Middle East exports have recovered to near pre-war levels. Earlier disruptions caused by the Middle East conflic||||||||||||||||

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Oil prices will remain high on depleted inventories and risk of re-escalation

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Crude prices remain above $100 per barrel as Iranian attacks disrupt Middle East oil flows.

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High prices come as major consumers draw down inventories to ease pressure.

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Twelve European members of the International Energy Agency plan to release 42.6 million barrels of strategic oil reserves by January 2027, easing supply pressures but only modestly.

Crude prices will remain high even as Middle East exports have recovered to near pre-war levels. Earlier disruptions caused by the Middle East conflict eroded both commercial and strategic inventories, which will continue to keep prices elevated.

According to Kpler data, crude shipments from the Middle East averaged 20 million barrels per day in the last week of October, rising above volumes being delivered before the war began in late February 2026. However, shipments fell sharply over the following two weeks as Iranian attacks continued to strain regional escort systems.

The risk to shipping around the Arabian Peninsula remains “severe” in the Strait of Hormuz, according to the Joint Maritime Information Center (JMIC). JMIC rates the threat as “substantial” across most of the rest of the Arabian Peninsula, including the Arabian Gulf, Gulf of Aden, and Red Sea. Under JMIC’s framework, attacks on merchant vessels are “highly likely” where risk is severe and a “strong possibility” where risk is substantial.

The elevated threat is keeping spot prices for Brent crude oil firmly above $100 per barrel. High freight rates have pushed delivered costs to major import regions in Asia or Europe closer to $130 per barrel.

To bridge supply gaps and ease price pressure, member states of the International Energy Agency (IEA) have released more than 400 million barrels of crude and refined products since February.

On 29 October 2026, 12 European IEA members committed to releasing another 42.6 million barrels from strategic oil reserves, including about 20 million barrels each of crude and diesel. The market will absorb that volume gradually between late 2026 and the end of January 2027.

These releases will help prevent winter shortages and keep spot oil prices from rising further. However, they will not improve longer-term supply security because they will further reduce already low inventories. They will also add to future demand, as IEA members will need to replenish depleted stocks once the crisis ends.

Meanwhile, the Middle East conflict continues even as negotiations proceed. Iranian negotiators spent the weekend in Doha, Qatar, and Foreign Minister Abbas Araqchi said on Sunday that Tehran was prepared for “both defense and diplomacy.”

Despite the ongoing talks, Eurasia Group sees a significant risk of re-escalation after the US midterm elections this week. The most likely outcome is an intense, short US air campaign designed to weaken Iran’s military capabilities and force Tehran to accept US demands. Iran would likely retaliate aggressively, possibly including attacks on non-energy infrastructure (see: The US will likely strike Iran in mid-November , 27 October 2026).

Oil prices will likely fall only when a credible solution to the Middle East conflict ensures safe passage for ships and removes the risk of attacks on oil infrastructure.

Once de-escalation happens, crude prices could drop quickly as the risk premium declines and inventories can be rebuilt safely.

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